ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 07 - SHORT TERM TRADING LOW RESISTANCE LIQUIDITY RUNS PART 2

INTRODUCTION TO LOW RESISTANCE LIQUIDITY RUNS IN TRENDING CONDITIONS

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This is ICT Mentorship Short-Term Trading Lesson number six, focusing on low resistance liquidity runs in trending conditions. Much like low resistance liquidity runs in consolidations, the same principles apply in trending conditions, based on the market's time and price theory.

- The market references data from 20, 40, and 60 trading days.

- For "one shot one kill" or short-term trading, the primary focus is on the last three months for the most salient institutional reference points.

- Trading keys off PD (Premium/Discount) arrays, aiming to move from one PD array to the next, ideally from a discount to a premium range that can be easily defined.

CASE STUDY: POUND (GBP/USD) IN TRENDING CONDITIONS

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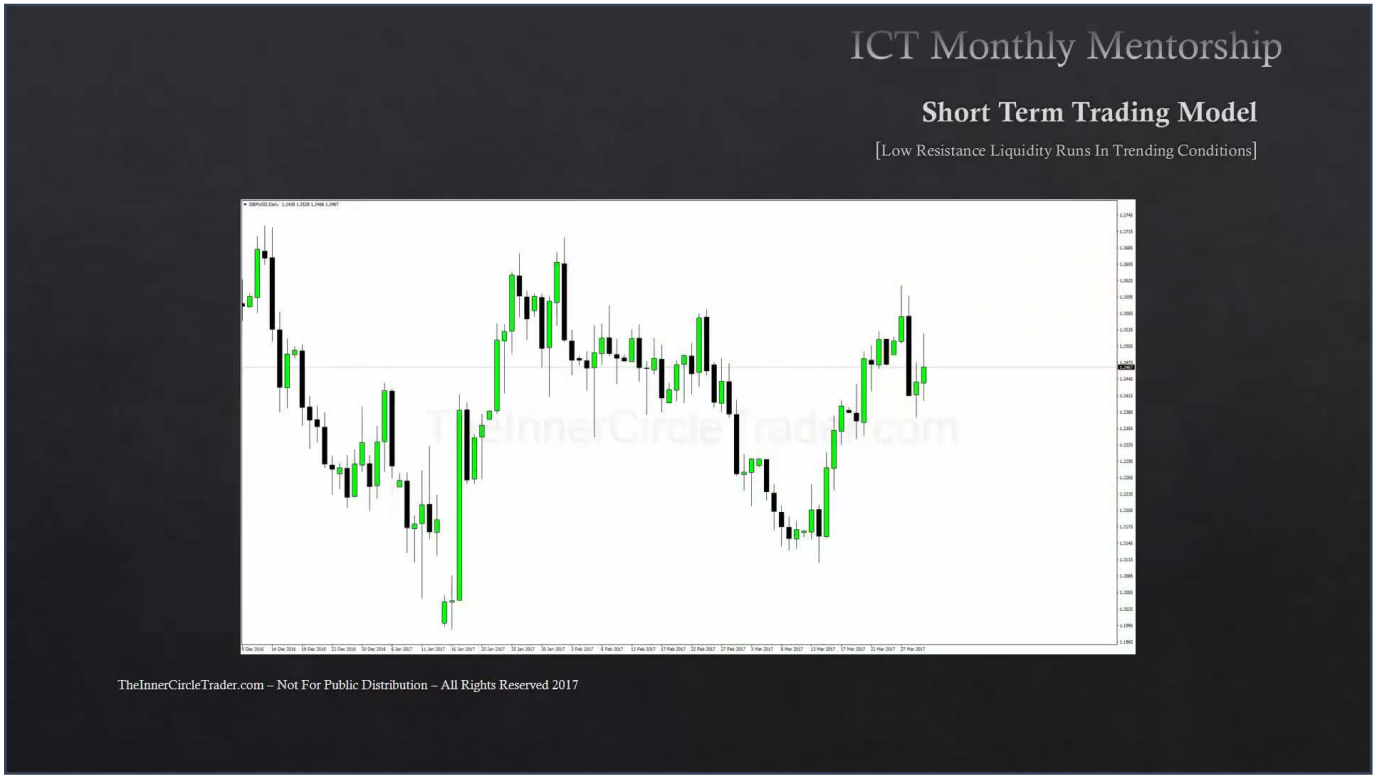


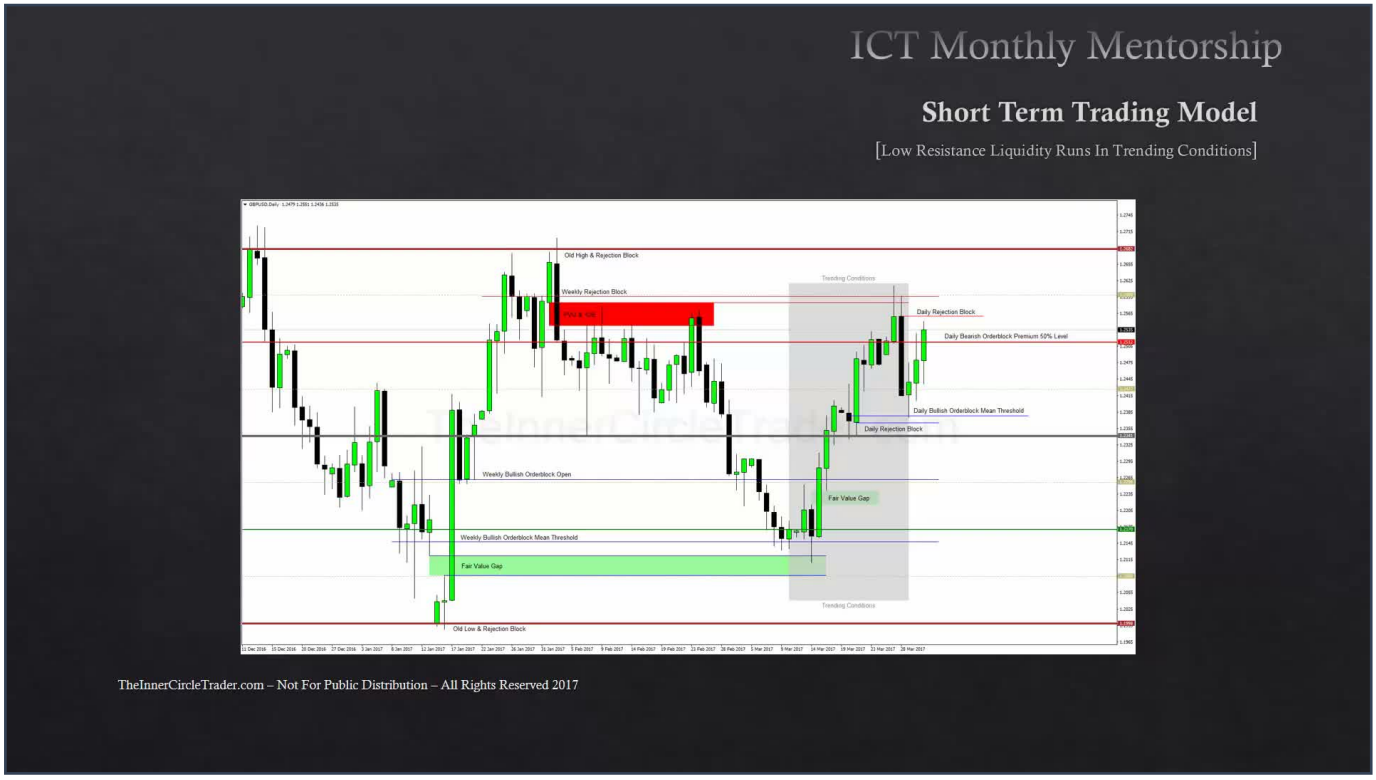
For this case study on liquidity runs in trending conditions, the Pound (GBP/USD) will be examined. This time, we will look at a different fractal of a larger consolidation, specifically a smaller segment of price action.

- Price is universally fractal, meaning a consolidation on one timeframe can be a trending environment on another.

- We will add PD arrays from the monthly, weekly, and daily charts.

- This information will be used in conjunction with trending environment conditions to trade from a low-end discount to a high-end premium market.

- The example will illustrate buying during an upswing or a trending bull market, focusing on a specific shaded price leg representing this trending condition.



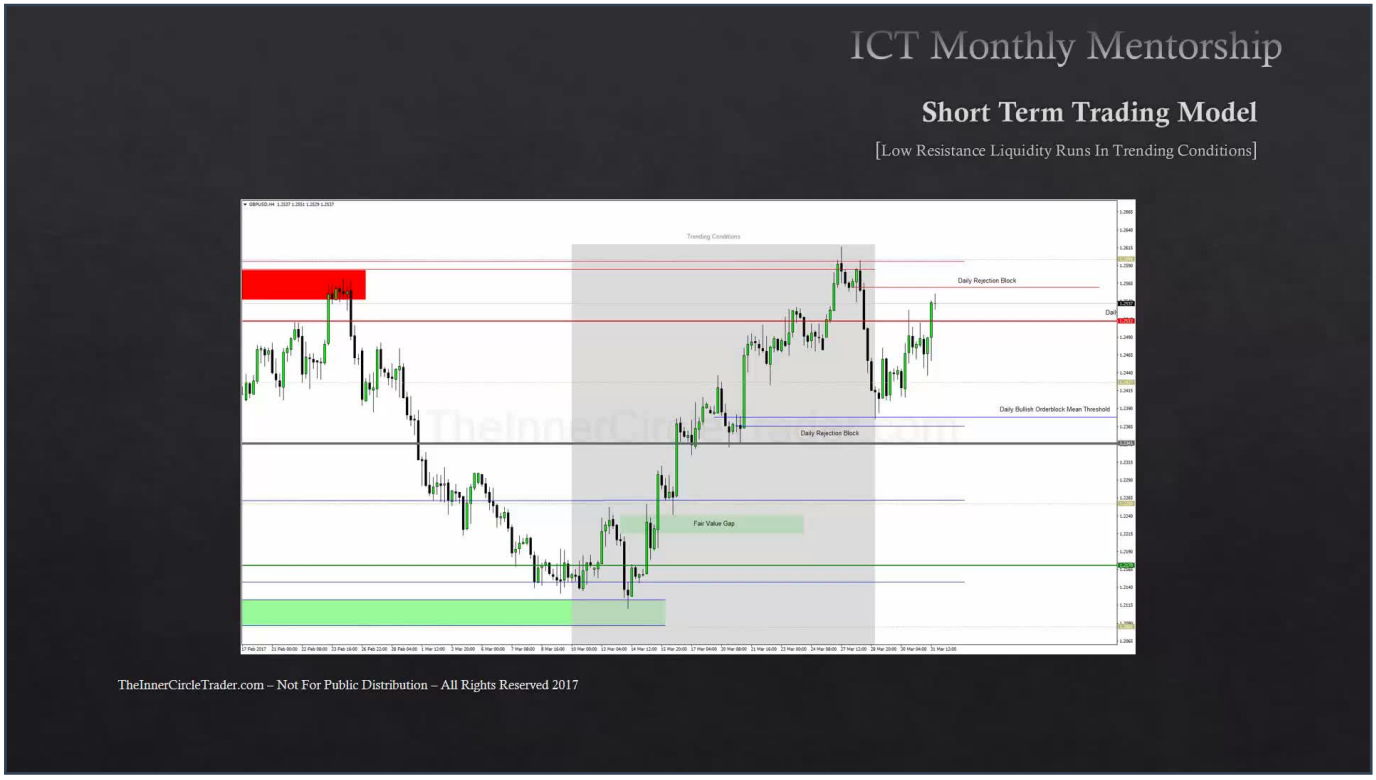
The basis of the analyzed swing up originates from a deep discount market, where the larger consolidation shows the market having found support. In a discount market, price generally seeks to move to a premium, whether on a short-term, mid-term, or long-term basis.

- For short-term trades, the market in the March time period is predominantly in an oversold condition, defined as a discount market.

- The market aims to reach some measure of a premium.

- If there is displacement and aggressive trading higher, it indicates institutions are funneling money and building long positions.

- Institutions building long positions are reaching for a premium PD array, an institutional reference point where they can unload these positions profitably, finding willing buyers at a higher level.

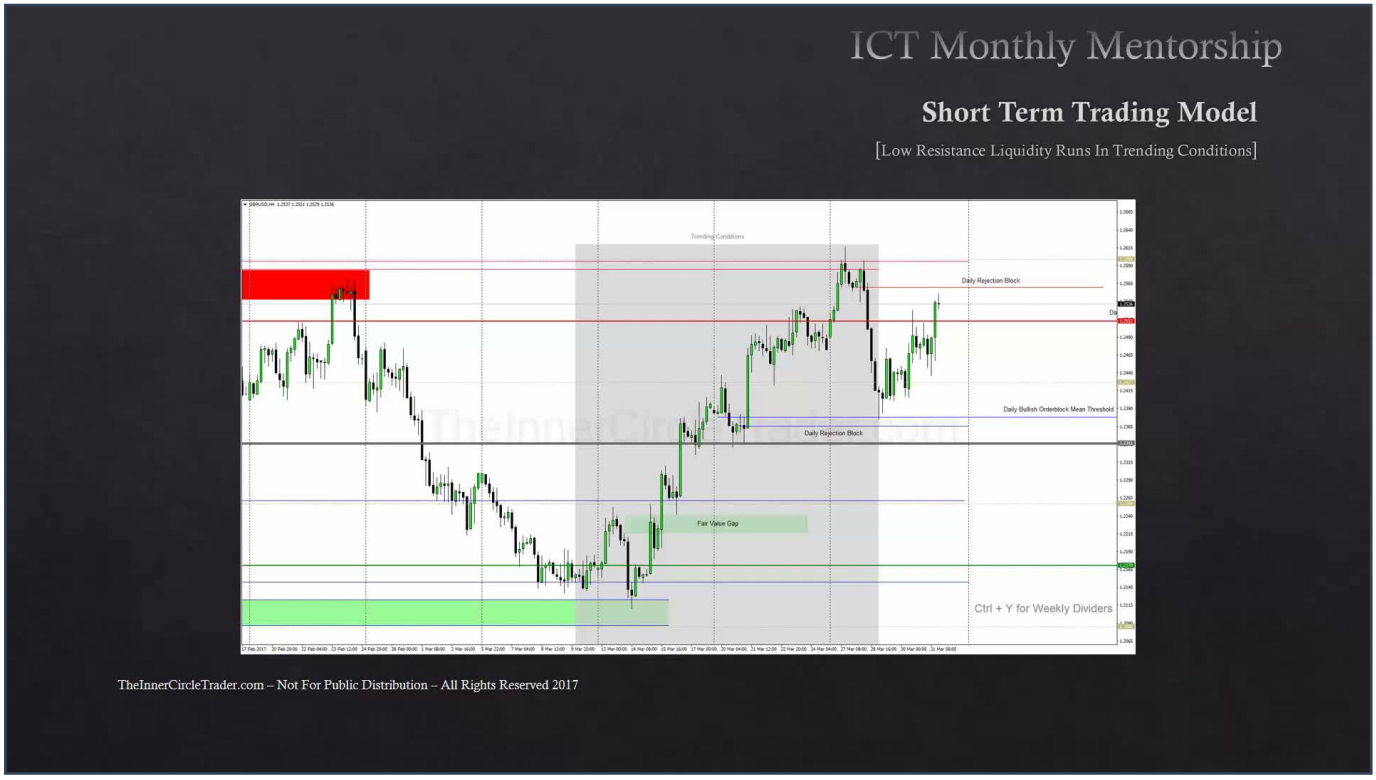


For "one shot one kill" strategies, the 4-hour chart is considered the easiest trading timeframe for framing setups. It's the speaker's preferred model, providing all necessary insights and components for high-probability short-term trading conditions.

- Using a 4-hour chart makes it easier to frame short-term trades.

- On MT4 (or equivalent platforms), pressing Ctrl + Y displays date dividers.

- On a 4-hour chart, these are weekly dividers, representing the beginning and end of each new trading week.

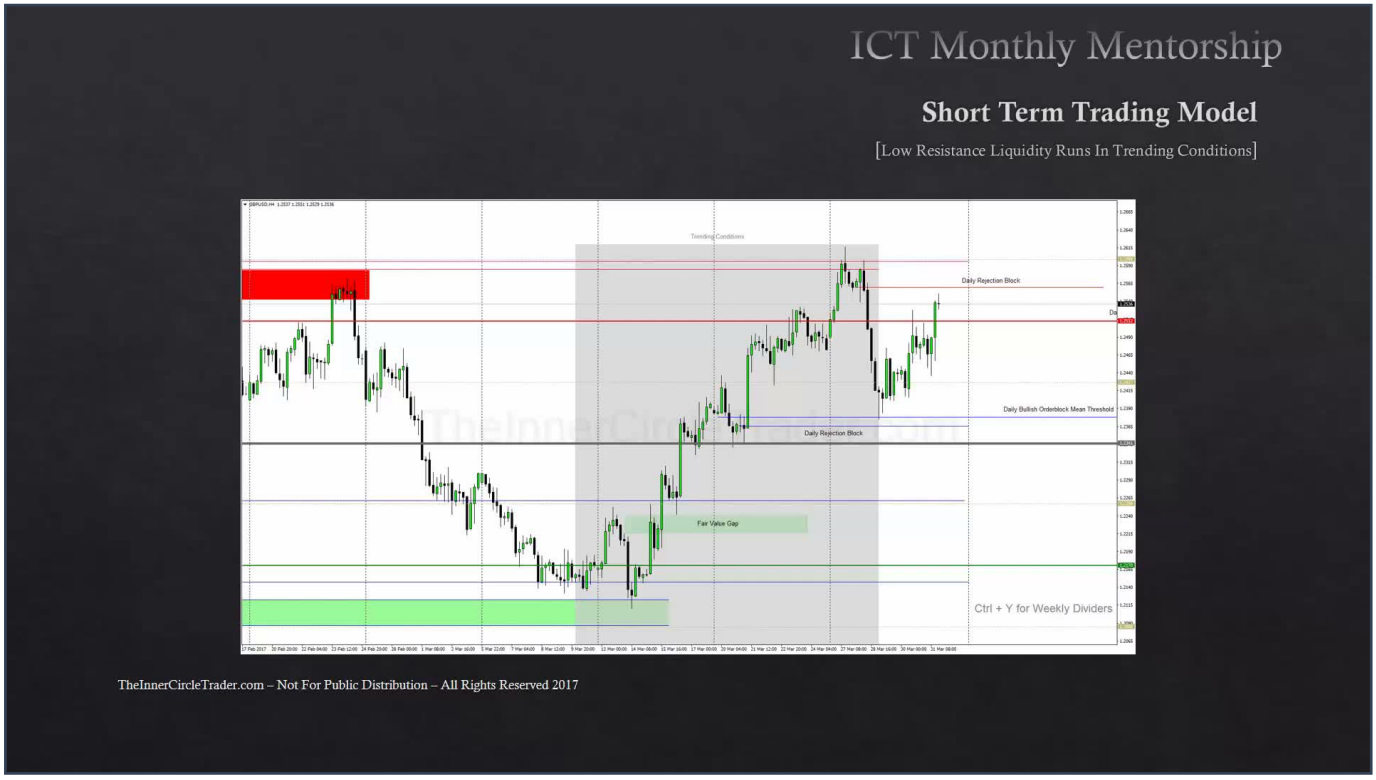


When PD arrays are present on the chart, it becomes easy to see where price is likely to reach. The pair is observed with gradients across all discount and premium ranges, showing various levels of progressive premium and discount.

- This involves dividing the discount-premium range, then dividing the upper portion, and subsequently halving those smaller divisions.

- This reveals lower levels of discount and higher levels of premium.

- On the 4-hour chart, if a discount PD array (e.g., a bullish order block, an old low, a fair value gap, a breaker) forms near a divider level or a "quadrant level" when looking to go long, it signals a high probability movement away from that level, reaching for an opposing level.



An example from March 15th shows price dropping into a fair value gap and then trading back to a breaker, creating an ideal scenario for a long entry. Even if the initial low entry is missed, a return to a breaker or fair value can offer another chance before the market explodes higher.

- For "one shot one kill," only one logical setup with a realistic pip objective is needed.

- Realistic pip objectives for beginners:

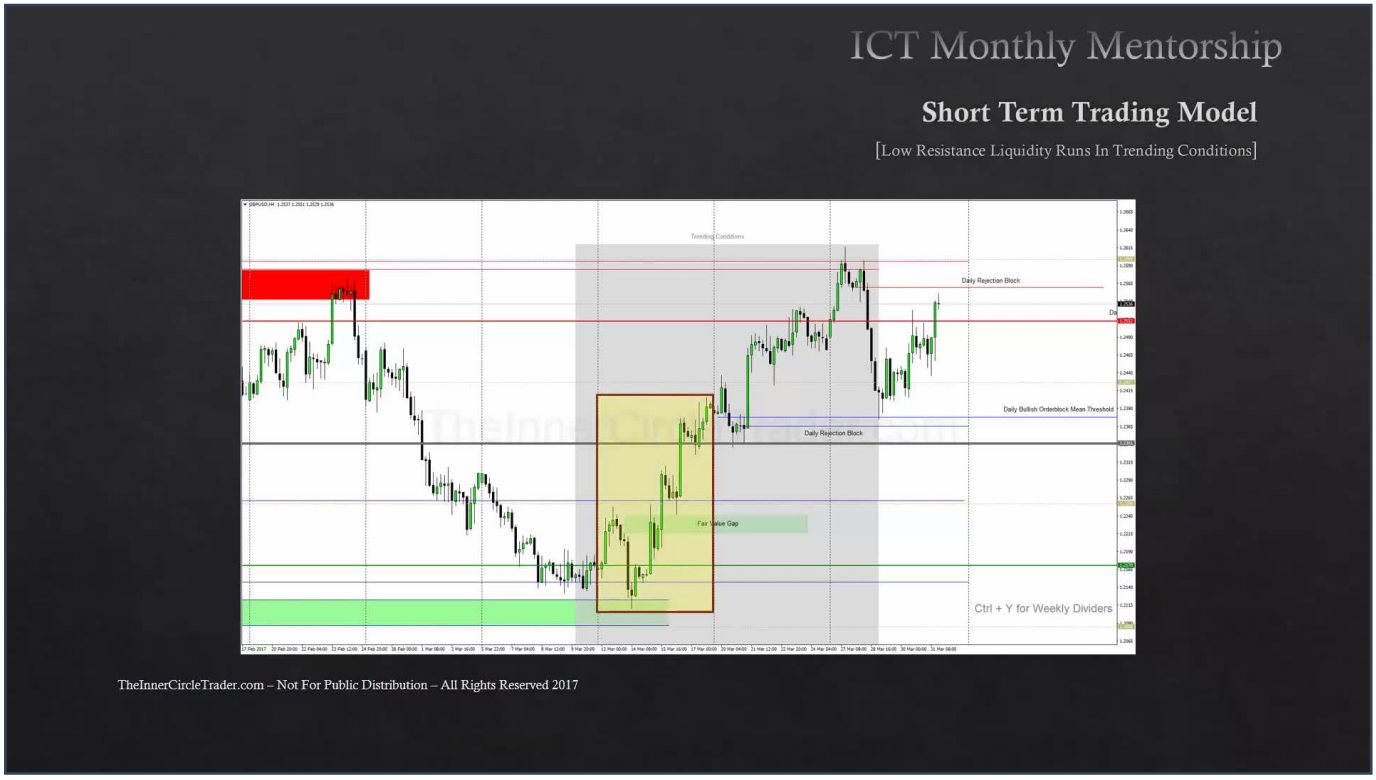
  - 30 to 50 pips a week.

- Graduating objectives:

  - 50 to 75 pips a week.

  - 75 to 100 pips a week.

- It's uncommon to consistently achieve over 100 pips, especially in smaller weekly ranges (e.g., 150-pip week). Flexibility in entry and exit is key; taking a portion of the weekly range is sufficient for a trading career.



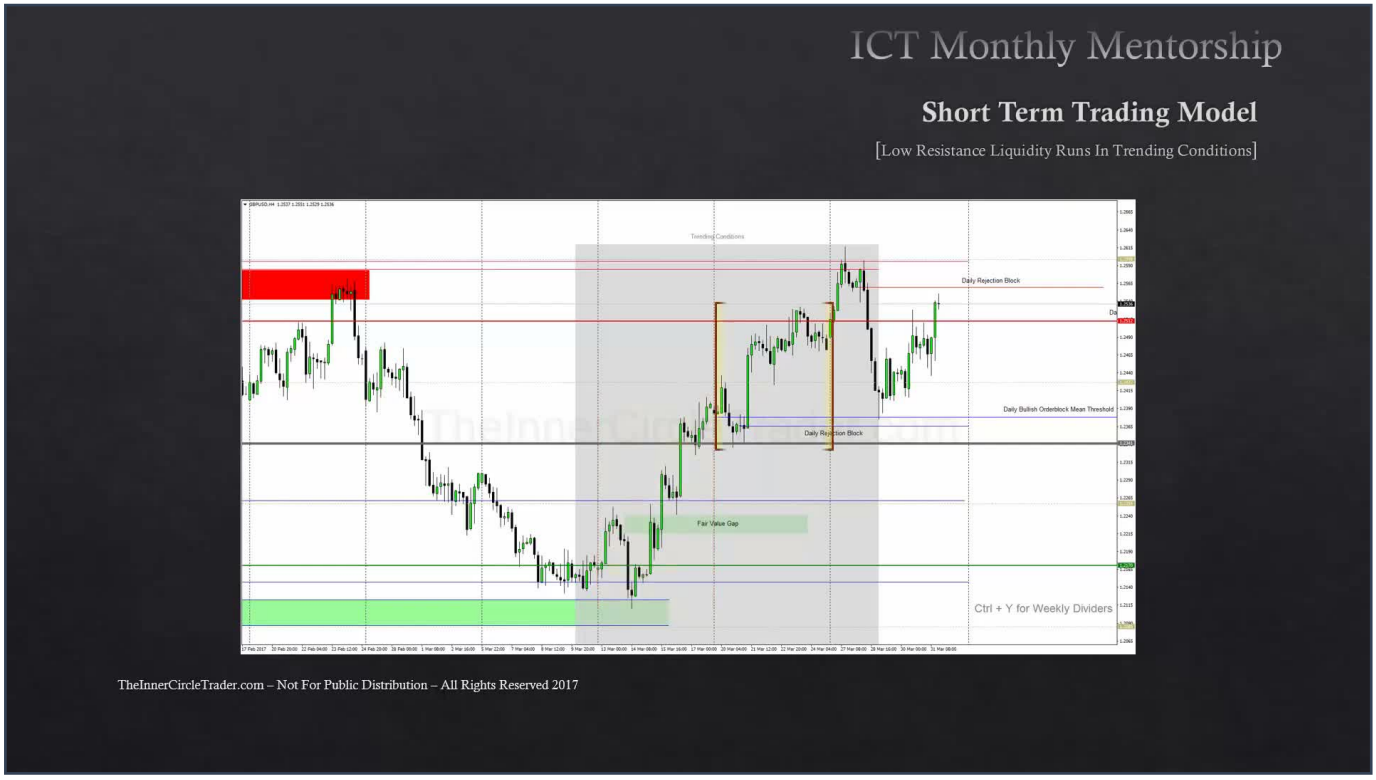
On the 4-hour chart, the entire weekly range is encapsulated (shaded in yellow). The market consistently reaches logical areas of premium PD arrays.

- The "Power of Three" concept is visible: in a bullish market, the open is near the low of the range, and the close is near the high.

- The market often makes an initial move lower at the beginning of the week, forms the low, and then explodes higher.

- This provides several high-probability entry points. Even if the absolute lowest point is missed, opportunities arise.

- The 4-hour chart here uses monthly, weekly, and daily PD arrays for clarity, although 4-hour PD arrays could be added for more detail and insights.



In the subsequent week, a similar scenario unfolds: the market initially trades down, forming the low of the week. A strong response is observed off the divider between the macro consolidation and the equilibrium price point of the overall consolidation (as discussed in Lesson 5 for Cable), which is a high-probability level.

- It is crucial to understand how to "grade" a range or price swing.

- Identify the highest high and lowest low using candle bodies (not wicks) to define the master blueprint of the range.

- The algorithm operates within this range, referencing past price actions based on time and price where price has either traded or not yet traded.

PRICE MOVEMENT FROM DISCOUNT TO PREMIUM AND MARKET MAGNETS

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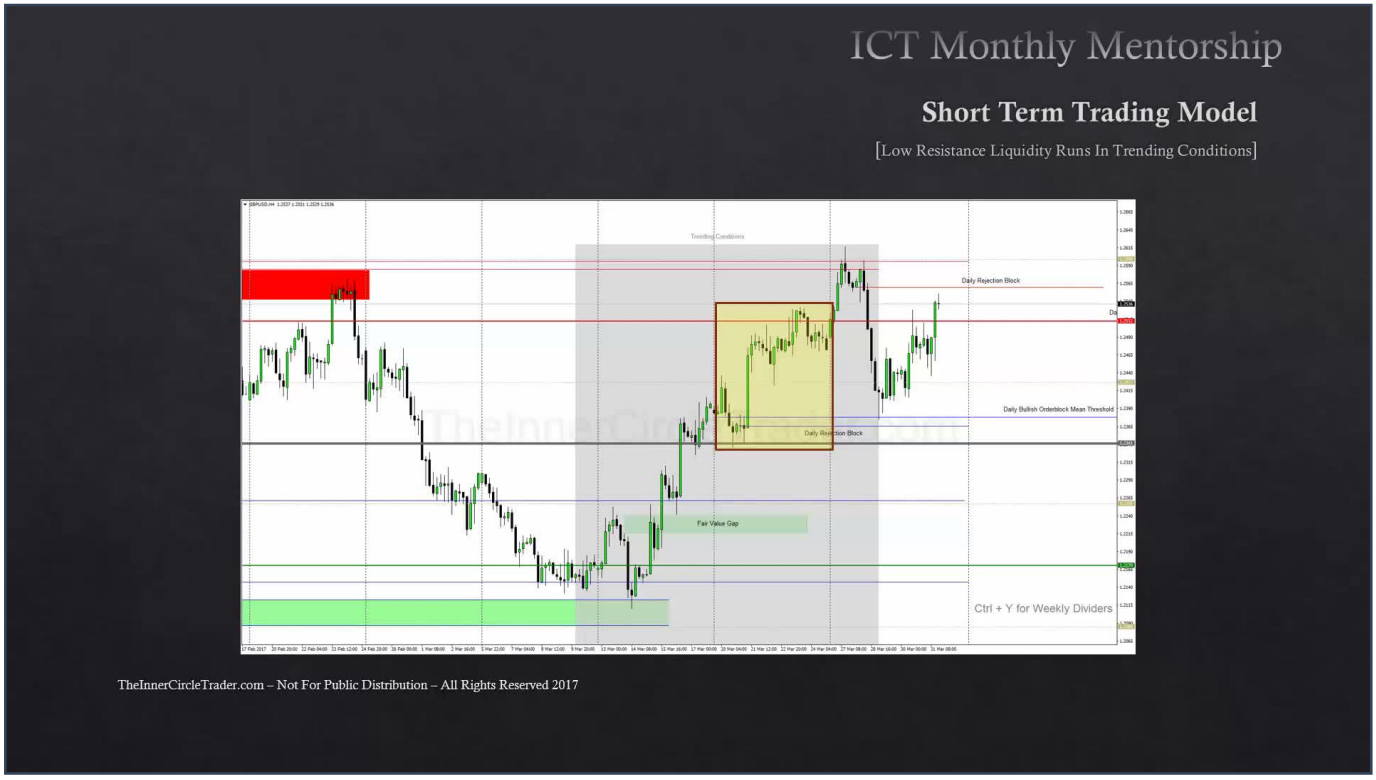
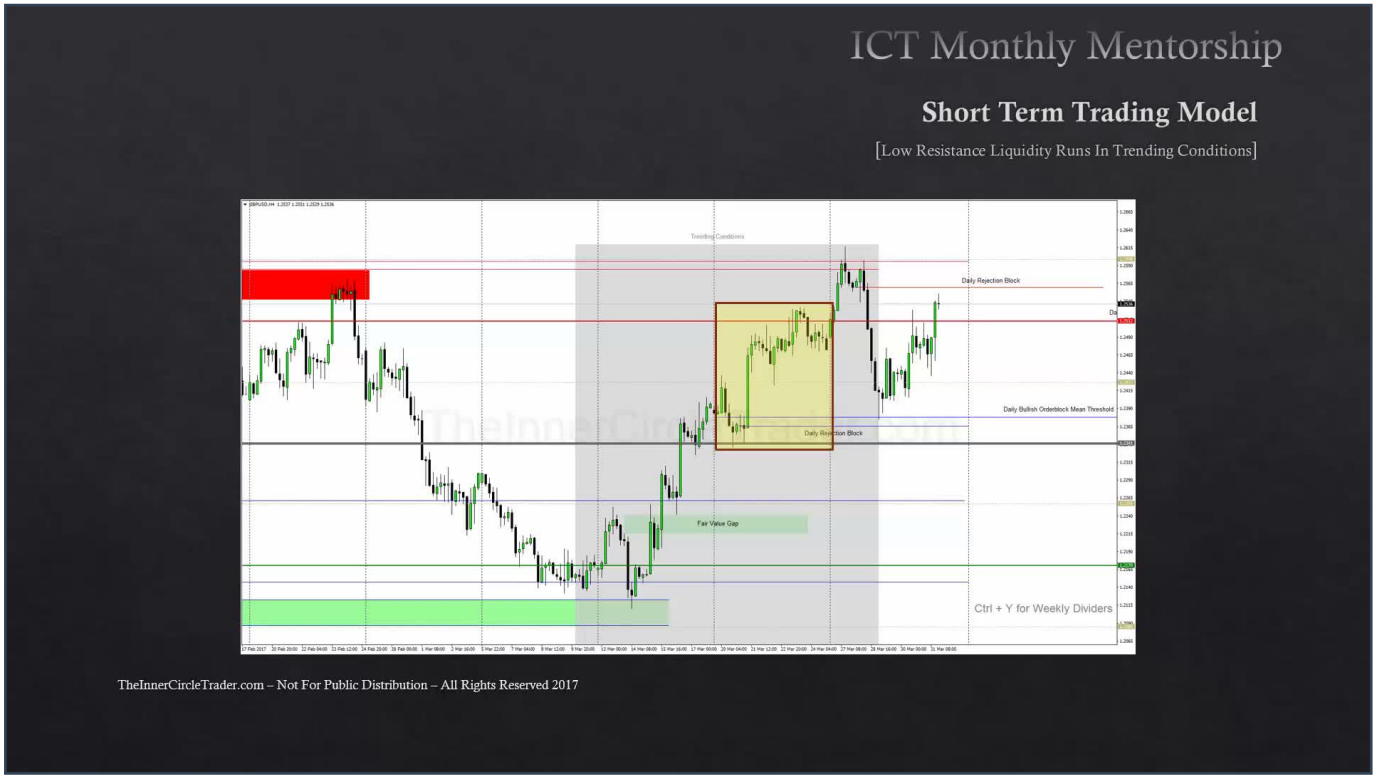


The market demonstrates a consistent move from a discount level to a premium level. For instance, the low formed in Cable on March 14th-15th was in a discount market. The second week (shaded yellow) shows price reaching the halfway point of the upper portion of the total range, or half of the daily chart's defined premium range.

- This movement from a logical discount to a logical premium is highly discernible.

- Studying price reactions and how price gravitates towards the defined range breakdowns is essential.

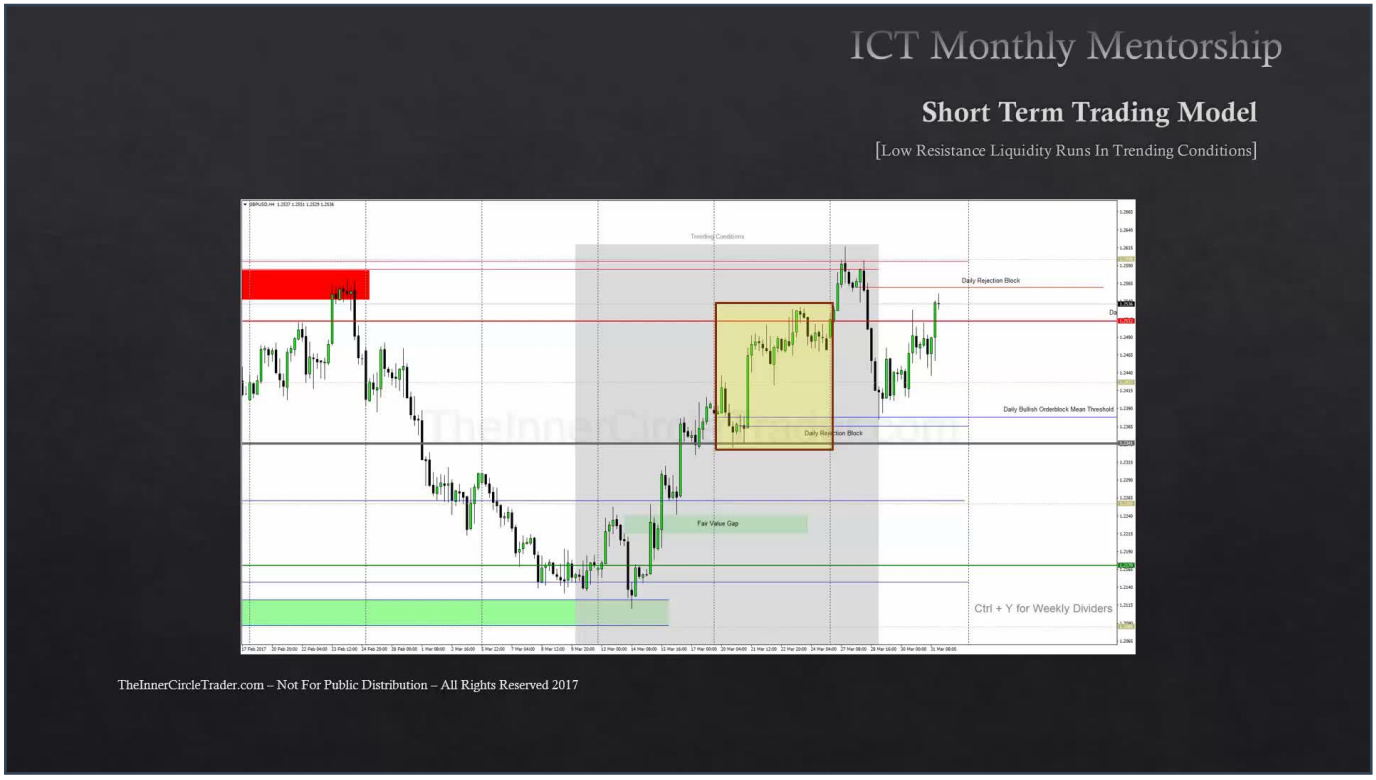
- These graded levels act like "magnets" for price.



Historically, traders used "pivot points," calculations based on high, low, and specific measurements to project highs, lows, and resistance. While these could be self-fulfilling, relying solely on old support and resistance levels from the past for future expectations often lacks consistency.

- It's important to look behind the scenes at what institutions are doing and understand institutional order flow.

- Grading a price swing by premium or discount measures helps discern where the market has its highest probable support or resistance, even without a logical old reference point.



By grading a price swing using premium or discount measures, institutional support becomes evident. In the March 14th example, trading into a fair value gap (discount range, shaded green) led to a natural response of price trading higher.

- The market then finds new levels of institutionally-based support, which are discount PD arrays.

- These can be:

  - Bullish order blocks

  - Fair value gaps

  - Breakers

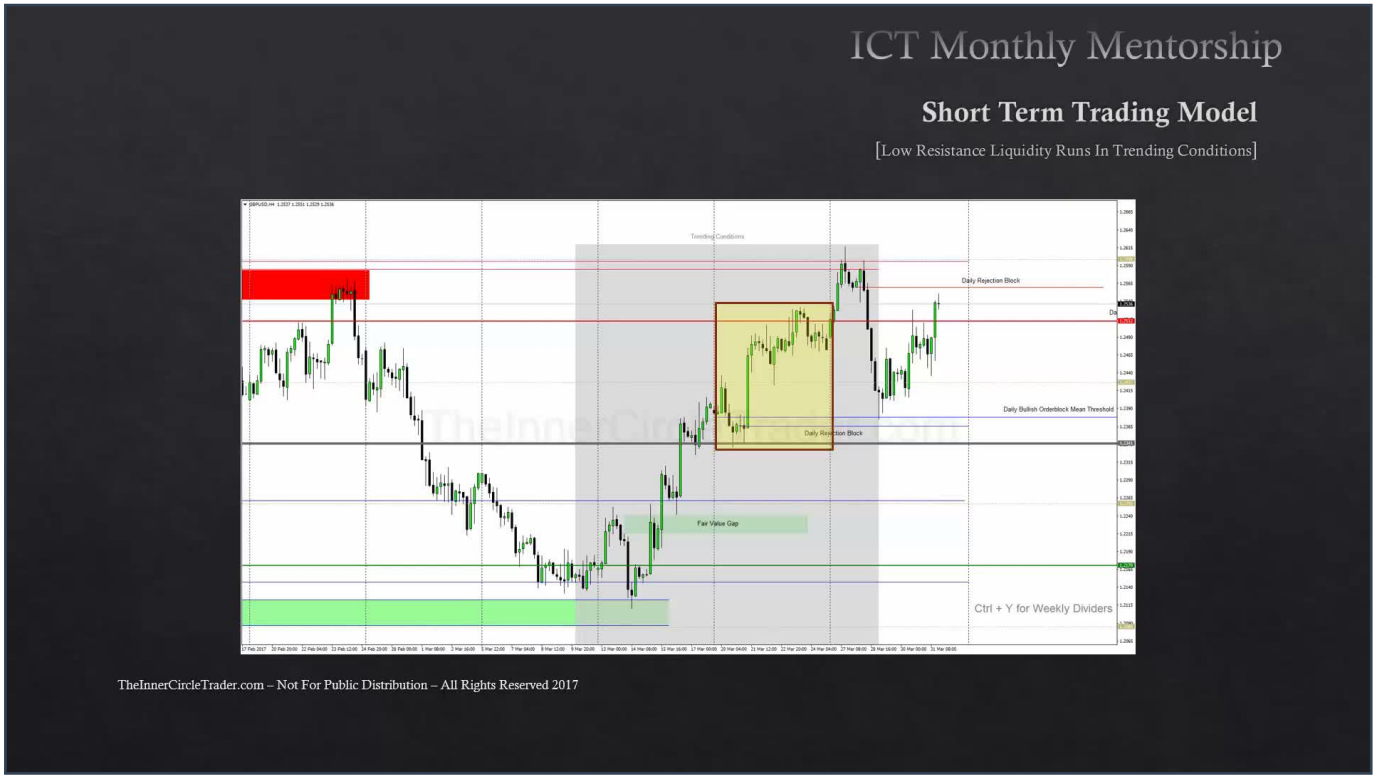
  - Mitigation blocks

  - Old lows or highs that, once broken, turn into support.

- As price moves towards a premium intra-week, these graded measures (quadrants, half-splits) act as "mile markers" for the algorithm.

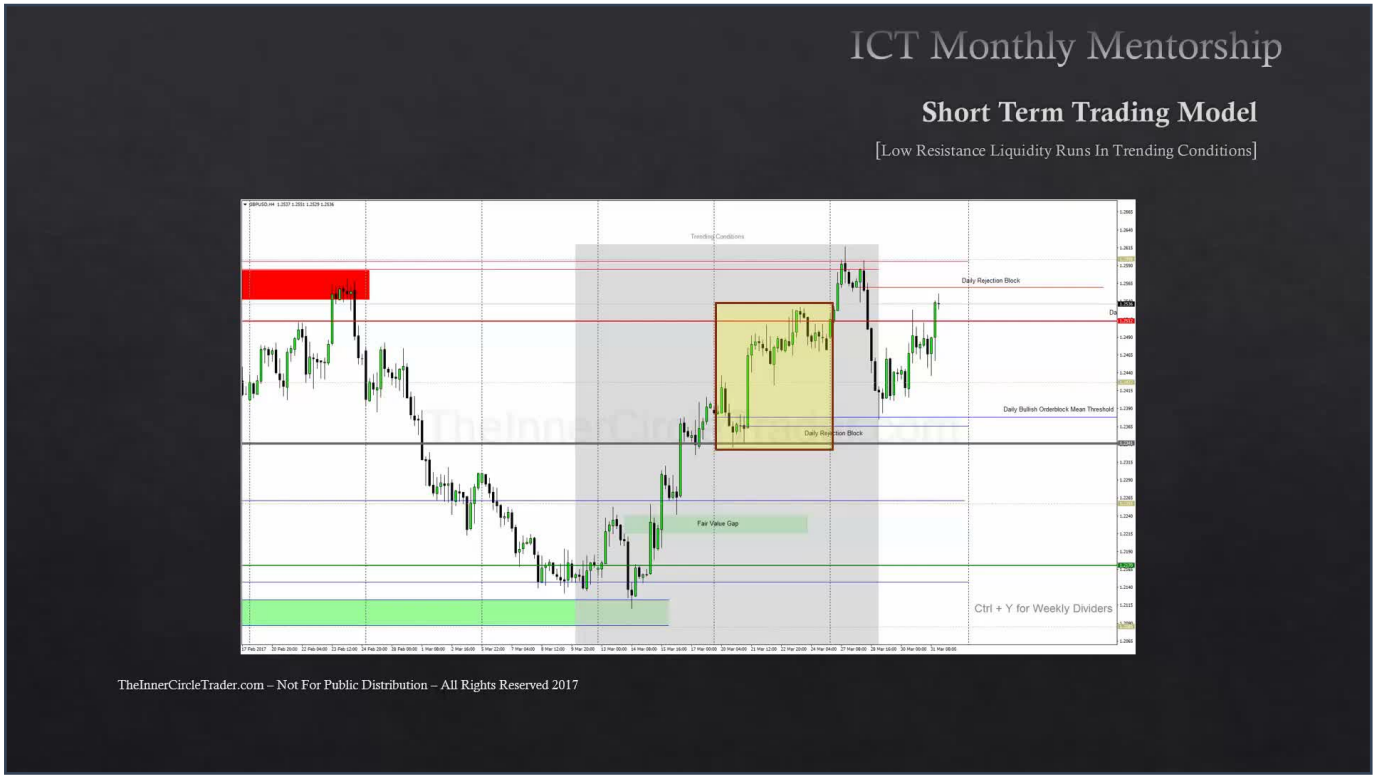
- When price reaches these measures, it provides opportunities for bank participants to facilitate trade.

- If price breaks through a level, it will most likely reach for the next level up.



There are rarely midway points between the graded levels defined in Lesson 5; these are the same consistent levels observed. While this might seem like hindsight, consistently reviewing charts reveals that these patterns happen almost all the time.

- Having the theory behind why the market is acting as it is allows us to anticipate how this "one shot one kill" component will repeat itself each week.



Each week, the market will seek to trade from one PD array to another, moving from one quadrant to another with the least resistance, shifting between premium and discount market valuations. The determination of whether it will move higher or lower is based on the current market position.

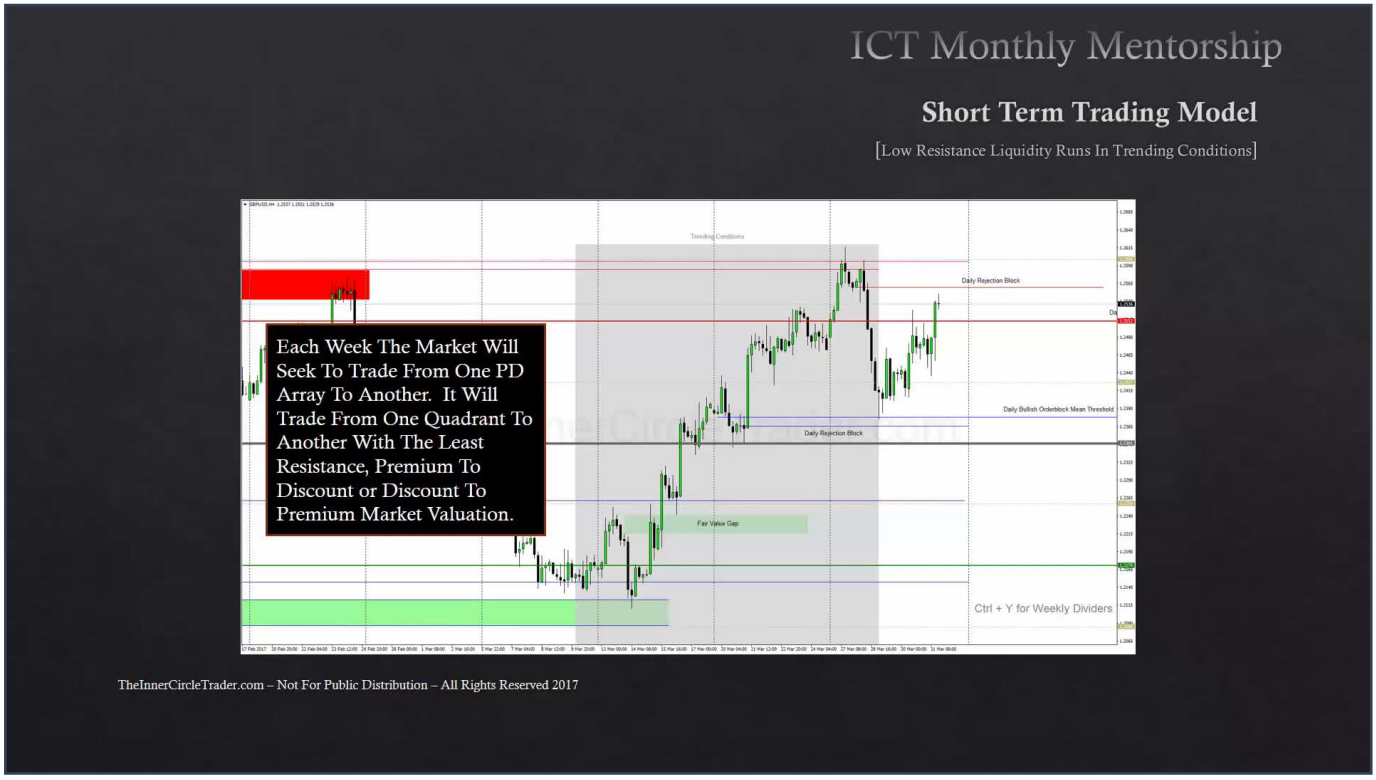
- If in a premium market, price is pushed up into a logical area where it has previously shown willingness to sell off, away from historical low buys or old lows.

- Having the graded levels and PD arrays on a 4-hour chart provides context, enabling anticipation of the full weekly range.

- Using MT4's weekly dividers (Ctrl+Y) on the 4-hour chart:

  - Each week, before Sunday's market opening, load the 4-hour chart with PD arrays.

- Make notations on where price may logically reach up to in a discount market or down to in a premium market.



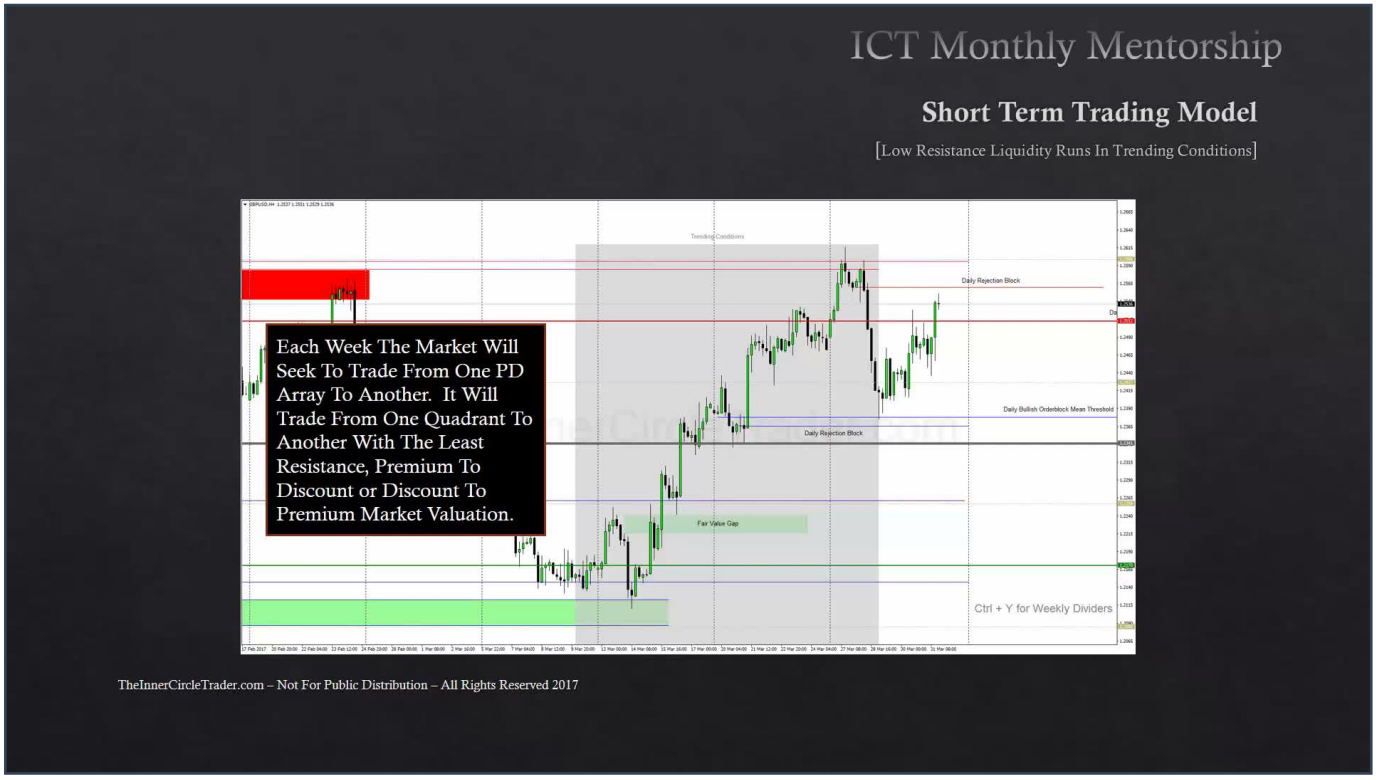
By observing PD arrays on the 4-hour chart, one can almost anticipate the completed weekly range. This practice, done every week, is an excellent exercise for building anticipatory price skills, which are necessary to foresee market movements.

- Trading relies on probabilities and a statistical edge.

- If the market is in a premium, it's most likely to trade lower.

- If the market is in a discount, it's most likely to trade higher.

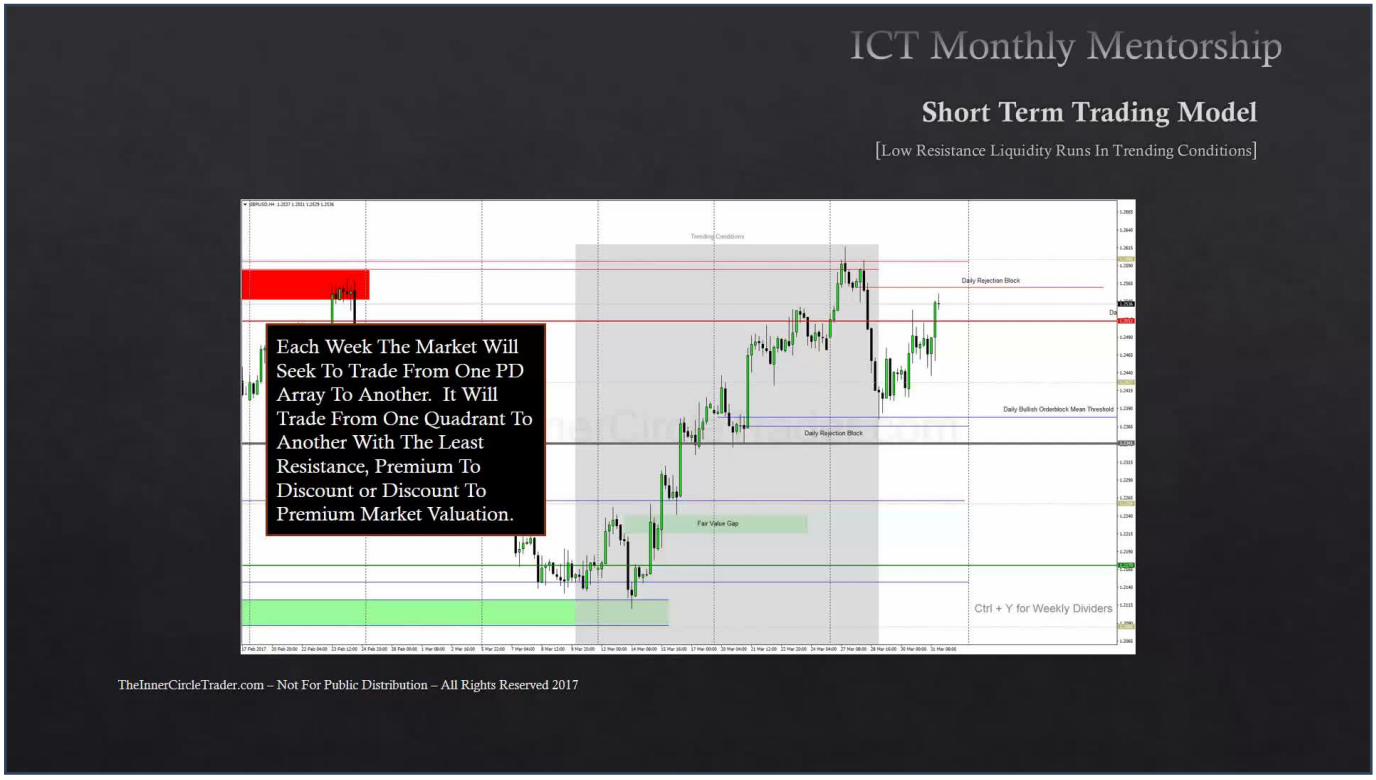
- The market seeks not just a support level, but an old area of institutional order flow—where old buying or selling was seen, which manifests as a PD array.



Consult the PD array Matrix to identify relevant PD arrays on your chart and assess the reasonableness of price reaching those levels within the weekly timeframe (Sunday opening to Friday close). Since it's a relatively short-term period, it's easier to predict market movement between Monday and Friday.

- The goal is not to predict the absolute highest high or lowest low, but the probable direction and key levels price will likely react to.

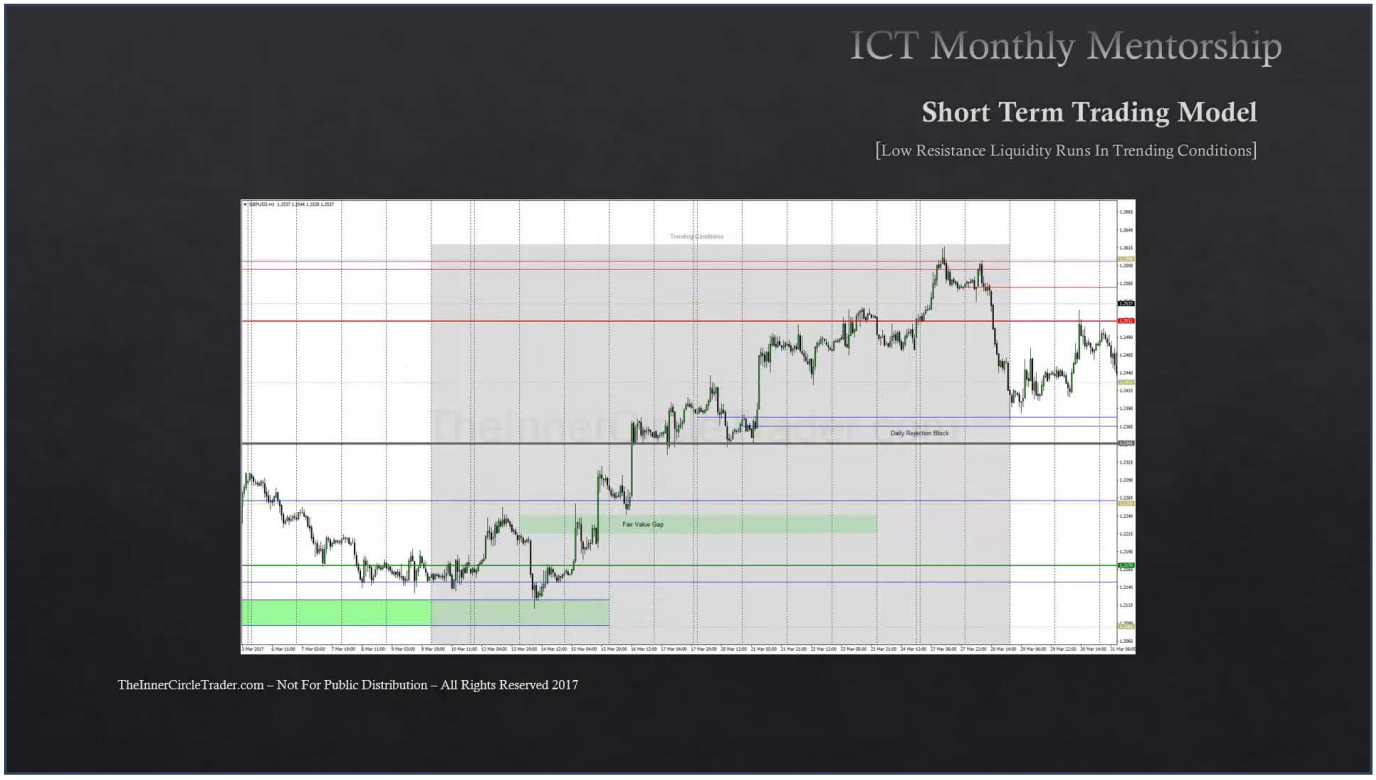
- The benefit of using a 4-hour chart with monthly, weekly, and daily PD arrays (and optionally 4-hour PD arrays) is that it yields the highest probable trade reactions, indicating where institutions will step in.



Refining the analysis to an hourly chart offers more detail, opportunities to reduce risk, and chances to enter if a daily or weekly PD array entry was missed. However, it's better to train oneself to work primarily off the 4-hour chart to envision and predict the weekly range.

- Example Week 1: The market trades into a fair value gap in a deep discount market and then moves up into a bearish order block.

- Example Week 2: Price trades down into the equilibrium price point of the total macro range (from Lesson 5's daily chart) and an old bullish order block from the previous week. It then trades up, closing in a fair value gap from February.

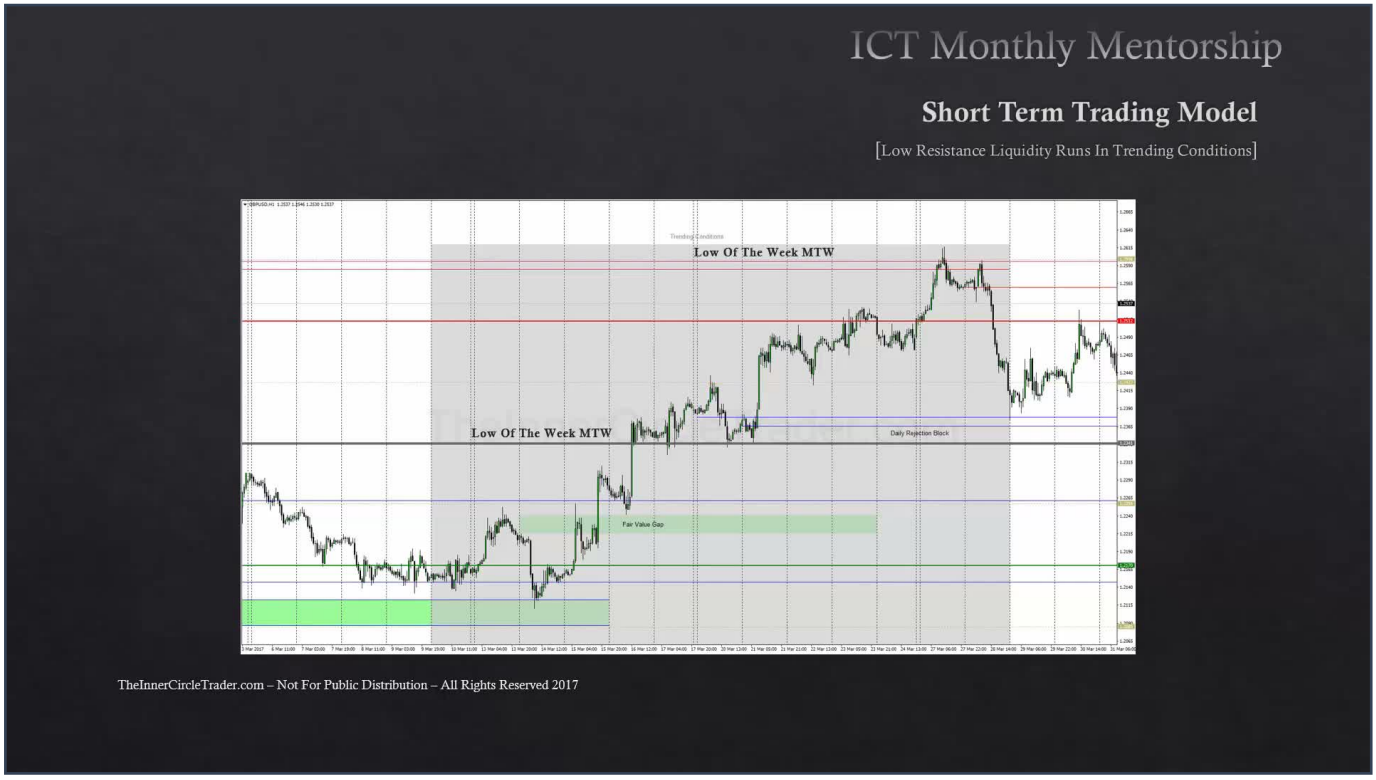


Further refining to a 60-minute chart provides more market definition, revealing breakers and mitigation blocks that might not be visible on the 4-hour chart.

- For "one shot one kill" setups, anything less than a 1-hour chart reduces effectiveness, as the focus is on impulse price swings that facilitate the weekly range, not day trading or scalping.

- Therefore, the primary focus for key levels remains the 4-hour chart.

- The hourly chart is useful for breaking down the market day by day and incorporating the day-of-week phenomenon.



In a bullish market, when expecting a move from a discount to a premium each week, the low of the week is generally sought between Monday, Tuesday, and Wednesday. These are the highest probable trading days for such a formation. (Conversely, expectations would reverse for a bearish market, from premium to discount).

- All PD arrays, graded levels (quadrants from Lesson 5), and PD arrays referencing 60, 20, and 40-day data ranges should be on the chart, providing natural support and resistance.

WEEKLY LOW FORMATION AND PRICE ACTION - WEEK 1 EXAMPLE

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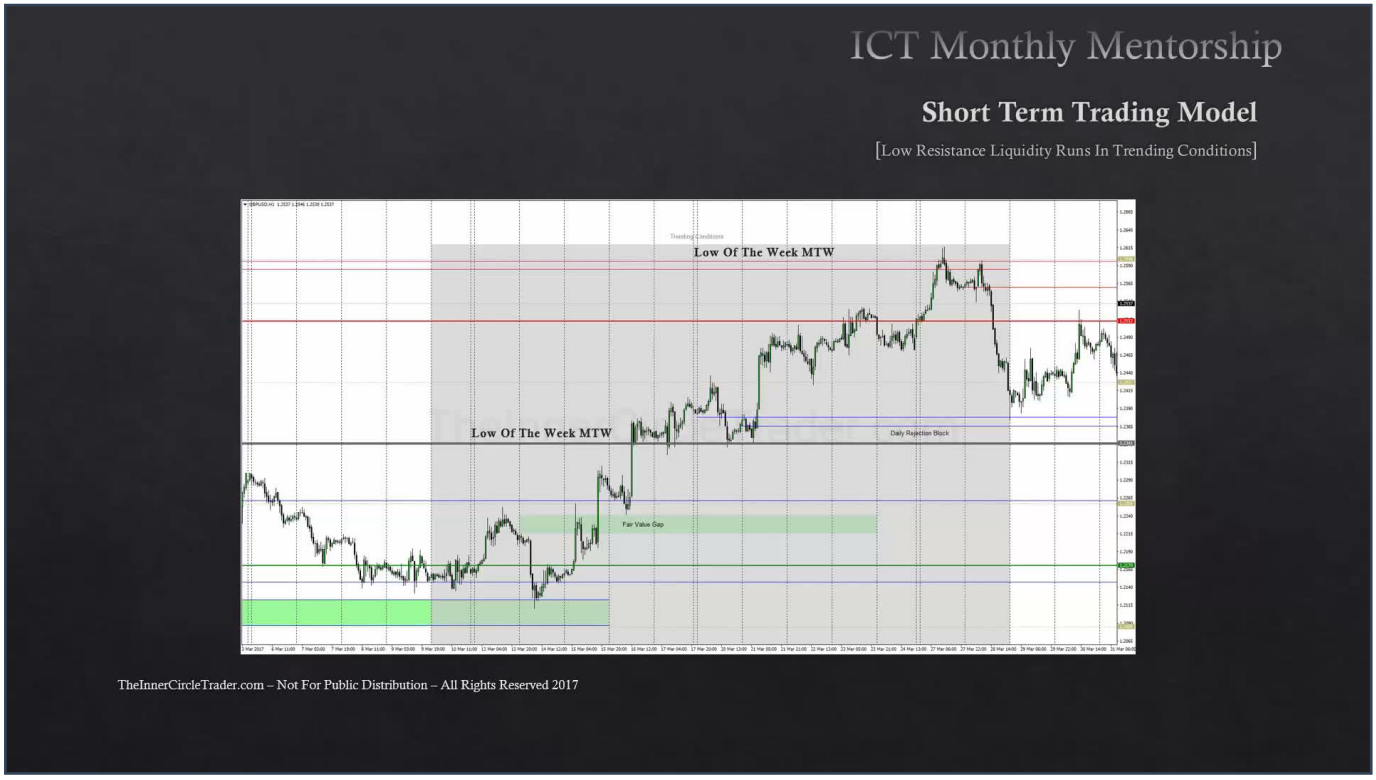

In the first week example for bullish trending conditions:

- Tuesday: The low of the week forms off a logical discount PD array (a daily fair value gap).

- Price then trades up, creating a high slightly above Monday's on Wednesday, and subsequently breaks through to form a higher intra-week high.

- Thursday: Price trades down into a fair value gap and a mitigation block (from Wednesday's intraday trading), followed by another impulse price swing higher.

- Friday: A small "Judas swing" trades down into equilibrium, then expands on the upside into the close.

WEEKLY LOW FORMATION AND PRICE ACTION - WEEK 2 EXAMPLE

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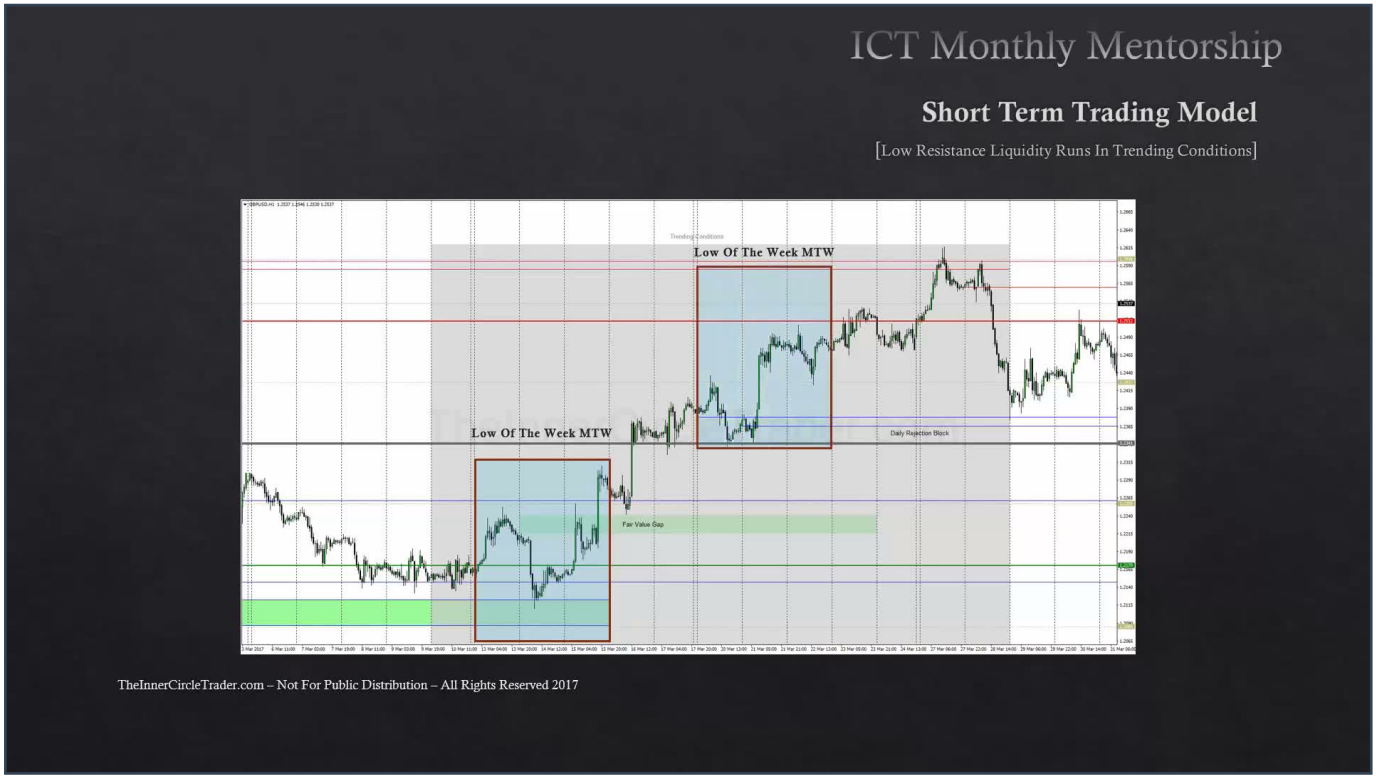


In the second week example:

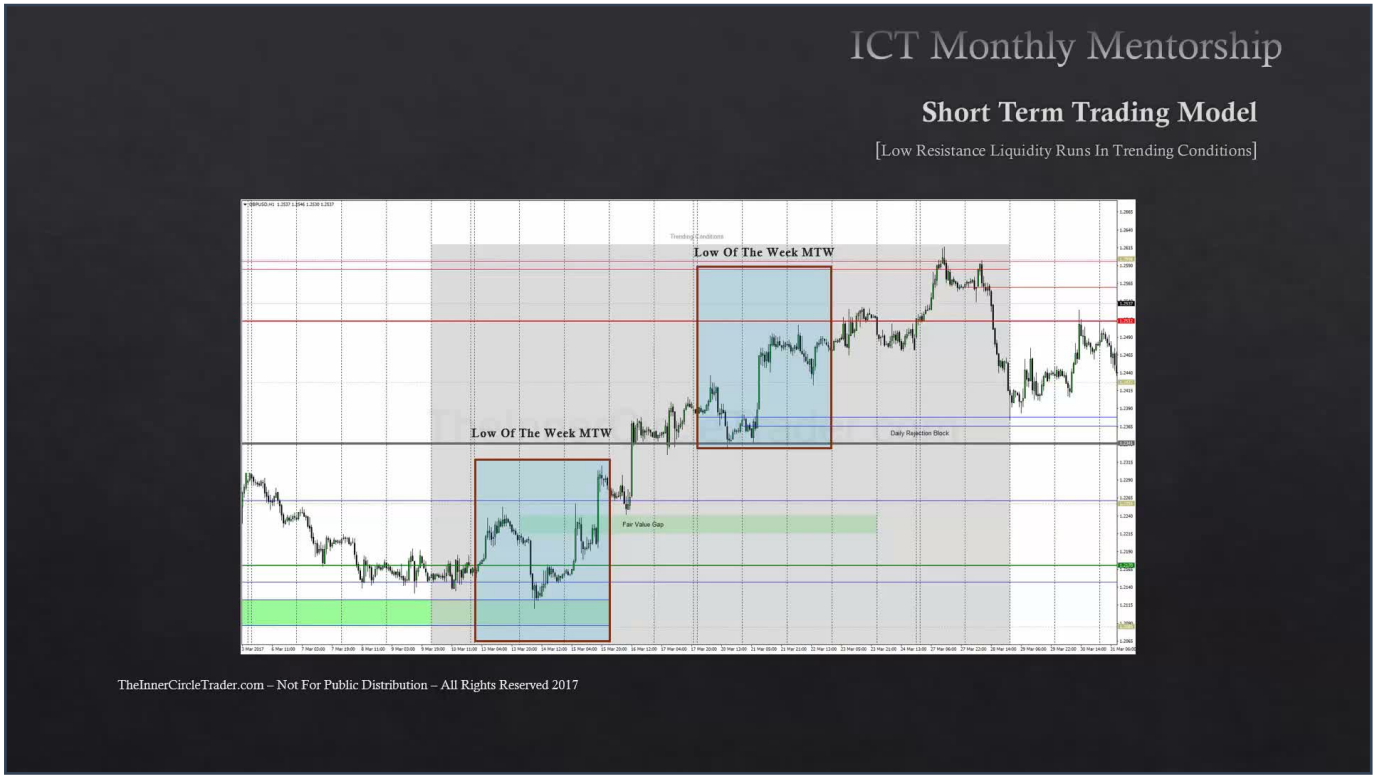
- Monday: The low forms after hitting the equilibrium price point of the overall macro consolidation (as defined in Lesson 5).

- Tuesday: A retest of that same old low/equilibrium price point, followed by acceleration higher.

- Wednesday: Another opportunity to get long, trading off a bullish breaker formed from Monday's high, creating Wednesday's low before trading higher.

- Thursday: Slight bullishness.

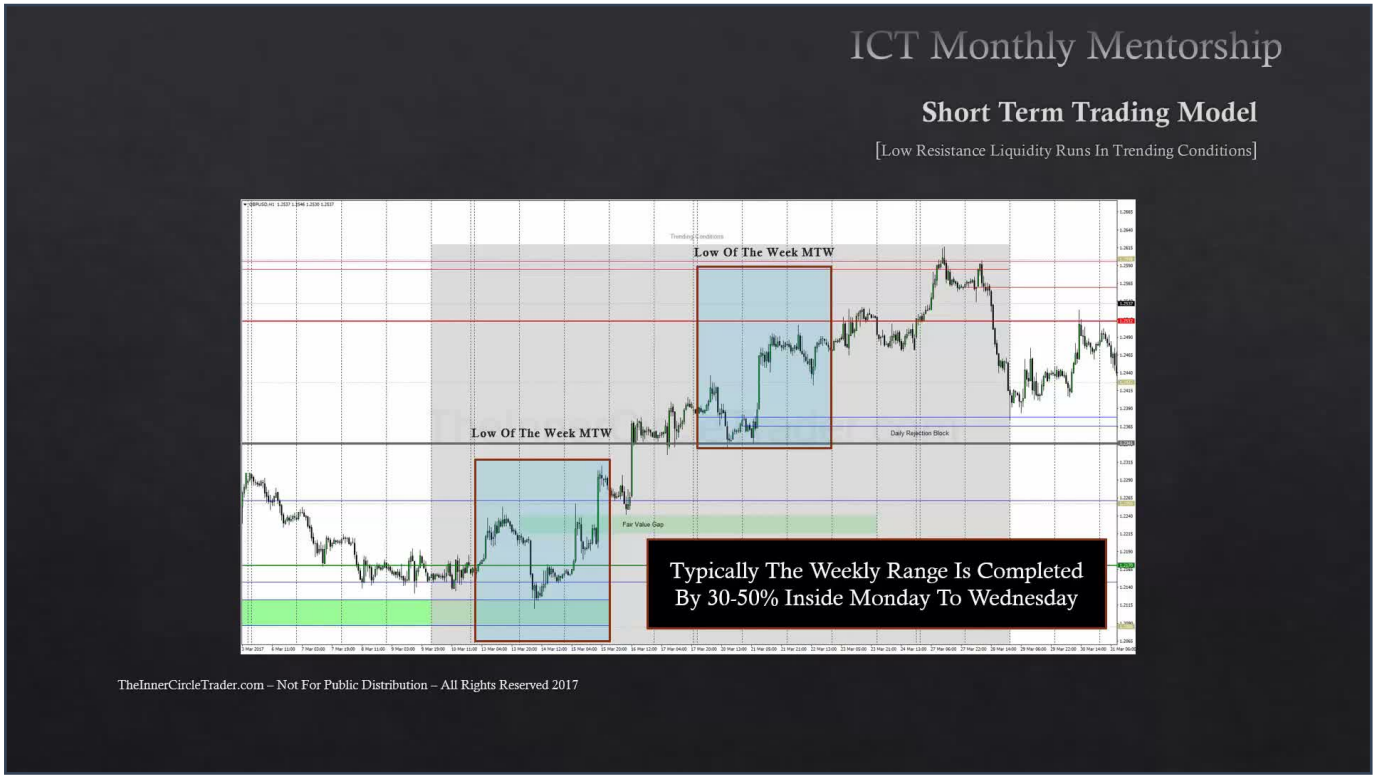
- Friday: A relatively flat close.



Through this process, it becomes apparent that typically 30-50% of the weekly range is completed between Monday and Wednesday (by London close).

- If aiming for longs from a discount to a premium for the week, and the Monday, Tuesday, or Wednesday entry is missed (due to being stopped out, missing the setup, or an initial misjudgment that corrects later in the week), it's crucial not to become "pip drunk."

- Do not attempt to aggressively capture a large portion of the move by Friday's close, especially if the range is already significantly developed.



Recognize that the weekly range might be smaller or less volatile than anticipated. A third to half of the weekly range is generally completed by Wednesday's London close.

- Avoid expecting massive upward or downward moves in the last two days of the trading week.

- Explosive moves typically occur on Tuesday or Wednesday. Thursday might see some follow-through, but Friday usually involves either a retracement or a neutral close, without significantly adding to the week's impressive moves seen earlier.

- The next lesson will build on this by incorporating how to identify inter-week reversals.